

1. Hospital Patient Segmentation

K	SSC
1	600
2	350
3	220
4	200
5	190

optimal number of clusters = 3

These 3 clusters can keep the hospital identify different patient group.

→ High - risk patients - require close monitoring and regular treatment.

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→ Medium - risk patients - require periodic health care support.

→ Low - risk patients - require routine health care services.

Using 3 clusters provides meaningful segmentation.

Without creating too many groups.

E-commerce order analysis:-

In hierarchical clustering, orders are grouped based on their similarity in product.

From the dataset

→ Elements :- 01 = 55,000 and 03 = 57,000 → very similar.

→ clothing :- 02 = 25,000 and 05 = 27,000 → very similar

→ furniture :- 04 = 30,000 → forms a separate group initially.

These clusters help the retailers understand purchasing patterns, high value electronics customers may be targeted.

Mobile APP uses Behaviour

In soft clustering a user can belong to more than one cluster with different membership probabilities.

u_1 : High usage and frequent login → mainly highly active

u_2 : low usage but High purchase → may have membership in both,

u_3 : very High usage and login frequency.

u_4 : low usage and low login frequency.

u_5 : High usage and frequent login.

5. Employee performance evaluation

model SS

$K=2$ 0.48

$K=3$ 0.68

$K=4$ 0.52

The highest silhouette score is 0.68 for $k=3$

$\therefore$ The most suitable number of clusters is 3

A possible segmentation is:

1. High - performing employees High productivity attendance and skills.
 2. medium - performing employee - moderate score.
 3. low performing employees - lower productivity attendance and skill score.
- A silhouette score closer to 1 indicates better defined and well-separated clusters since $k=3$ has the highest score.

4. Agricultural crop monitoring

Before normalization.

- Rainfall : 280 - 520mm
- Soil fertility : 3-9
- Crop yield : 65-90 tons

Because rainfall has much larger numerical values it can dominate distance calculation in clustering.

Effect of normalization :

1. prevents large-scale features from dominating clustering
2. makes distance calculations fair
3. produces more meaningful clusters
4. Improves comparison b/w farms
5. makes agricultural analysis more reliable.